TAXING SENIOR CITIZENS

In the old regime, the income tax limit for availing the exemption was Rs 3 lakh and Rs 5 lakh for senior citizens and super senior citizens respectively. This has changed in the new tax regime wherein income up to Rs 7 lakh is exempt from income tax. While senior citizens could still opt for the old tax regime and claim deductions and exemptions, they would need to calculate the amount of deduction and exemption to claim to make their tax outgo nil. For instance, a gross income of Rs 7.5 lakh would require a deduction or exemption of Rs 2.5 lakh to have zero tax liability.

But, in case of gross income above Rs 7.5 lakh and up to Rs 10.5 lakh, the deductions and exemptions to claim would range from Rs 2.5 lakh upwards to ensure zero taxes. Basically, senior citizens would need to examine their sources of income and accordingly plan which tax regime to opt for and what kind of exemptions and deductions to claim to reduce their income tax liability.

ADDRESSING SENIORS' NEEDS

The new tax regime also has standard deduction of Rs 50,000 for pensioners, including family pensioners. This way, a pensioner who is also a senior citizen could benefit under the new regime if they are unable to claim maximum deductions and exemptions for income tax outgo to remain the same in both tax regimes. In case of the senior citizens, the decision to choose between the two regimes hinges on the quantum and source of income they earn.

DECREASE IN SALARY REDUCES THE DEDUCTION AND EXEMPTION NECESSARY FOR TAX SAVINGS TO BE NIL

The old regime may still benefit certain class of senior citizens, such as those who continue to be employed and earn an income or have a higher pension. In both these cases, a senior citizen may be inclined to save taxes by utilising tax savings and investment instruments. They could benefit from the Rs 50,000 tax deduction under Section 80D for expenses in the absence of medical insurance and another Rs 50,000 under Section 80TTB for interest income on investments. They could also claim Rs 1 lakh under Section 80DDB towards expenses on medical treatment for specific diseases.

Given the reducing interest rates, to support senior citizens, especially those taxpayers who do not have pensions and depend on a fixed interest income to sustain their lives, the government has increased the maximum deposit for SCSS (senior citizen savings scheme) from Rs 15 lakh to Rs 30 lakh. This paves the opportunity for seniors to create a higher income stream. Hence, the circumstances, financial situation and financial needs in retirement would determine which tax regime a senior citizen would opt for. ■

able as HRA is exempt from tax subject to limits.

The argument to leave the choice of saving or investing to taxpayers has merit; one has to wait and see how taxpayers evolve self-discipline to save and invest. The new regime has also done away with any discrepancy in taxpayers based on their age, so differential tax rates for senior citizens and super senior citizens cease to exist. However, at one level, this should not impact most senior citizens, given the lower tax slab rates at lower income based on the assumption that most senior citizens would have low income (*See: Taxing Senior Citizens*).

EXEMPTIONS UNDER OLD TAX REGIME

- House Rent Allowance
- Leave Travel Allowance
- Mobile and internet reimbursement
- Food coupons or vouchers
- Company leased car
- Standard deduction
- Uniform allowance
- Leave encashment*

*Up to Rs 25 lakh can be claimed under the new regime

FINDING THE SWEET SPOT

Most citizens find themselves in a fix over the old versus new tax regime debate. Considering the six slab rates from 5 per cent to 30 per cent in the new regime, it is natural for tax liability to be low in the new regime compared to the old for income under several bands. So, there is no straightforward way to choose between the two because both have advantages and disadvantages (*See: End of Tax Savings as We Know*). The choice of the tax regime to go with would depend on the taxpayer's income, financial goals and even age.

Likewise, taxpayers who are servicing a home loan may find the old regime an efficient system to